



Think Ahead

Advanced Financial Management (AFM) September 2022 Examiner's report

The examining team share their observations from the marking process to highlight strengths and weaknesses in candidates' performance, and to offer constructive advice for those sitting the exam in the future.

Contents

General comments	2
Format of exam	2
Question 1 – Para Fuels Co	2
Part (a) – 4 marks	3
Part (b)(i) – 9 marks	4
Part (b)(ii) – 9 marks	4
Part (b)(iii) – 7 marks.....	5
Part (b)(iv) – 11 marks	5
Professional skills – 10 marks.....	5
Question 2 – Lough Co.....	6
Part (a) – 9 marks	8
Part (b) – 4 marks	8
Part (c) – 7 marks.....	8
Professional skills – 5 marks.....	9
Question 3 – Felinhen Co	10
Part (a) – 9 marks	11
Part (b) – 11 marks	11
Professional skills – 5 marks.....	12



General comments

This examiner's report should be used in conjunction with the published September 2022 sample exam which can be found on the [ACCA Practice Platform](#).

In this report, the examining team provide constructive guidance on how to answer the questions whilst sharing their observations from the marking process, highlighting the strengths and weaknesses of candidates who attempted these questions. Future candidates can use this examiner's report as part of their exam preparation, attempting question practice on the [ACCA Practice Platform](#), reviewing the published answers alongside this report.

Format of exam

The examination comprised two sections, A and B. Section A consisted of one compulsory question for 50 marks in total. Section B consisted of two compulsory questions for 25 marks each. Out of this total of 100 marks across sections A and B, 20 marks were available for professional skills related to communication, commercial acumen, analysis and evaluation, and scepticism. 80 technical marks were available for applying appropriate technical knowledge in response to the requirements.

Section A

Question 1 – Para Fuels Co

The screenshot shows the ACCA exam interface for Question 1 – Para Fuels Co. The interface is divided into several sections:

- Top Bar:** Displays "AFM September 2022 (22/23 syllabus)" and "1 of 3". It includes icons for Symbol, Highlight, Strikethrough, Calculator, and Scratch Pad, along with "Close All" and "Flag for Review" buttons.
- Exhibits:** A list of four exhibits on the left-hand side:
 - 1. Para Fuels Co
 - 2. Traditional technology: Investment A
 - 3. New technology: Investment B
 - 4. Comments made at the BoD meeting
- Requirements:** A section titled "Requirements (50 marks)".
- Response Options:** A section with three options:
 - Word Processor
 - Spreadsheet
 - BSOP Calculator
- Main Content Area:** Contains the following text:

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

 1. Para Fuels Co, production facility replacement
 2. Traditional technology: Investment A
 3. New technology: Investment B
 4. Comments made at the BoD meeting

This information should be used to answer the question **requirements** within your chosen **response option(s)**.
- Bottom Bar:** Includes a "Help/Formulae Sheet" icon and navigation buttons: "Previous", "Navigator", and "Next".

Format of the question

Para Fuels Co was drawn from the advanced investment appraisal section of the syllabus (section B), focusing on the net present value (NPV) technique of investment appraisal and augmenting it with real options. The scenario is broadly similar in complexity to questions that have been examined on the same syllabus area. The requirements tested the ability of candidates to undertake a number of detailed calculations and to discuss associated issues relevant to those calculations.

Comment on time management

It is important for candidates to allow time for reading, thinking and checking their answer within the time allocated for the question. It is vitally important that all parts of the question are attempted, to maximise technical and professional skills marks.

They should avoid the temptation to expand their answer to one requirement beyond the allotted time and use up time that should have been spent answering the remaining requirements and the other questions in the exam. Markers cannot allocate more marks to a requirement than is available, even if the comments may otherwise be worthy of marks.

Scenario background

The question scenario considered the question which Para Fuels Co is facing on whether to keep to the existing technology, which is less environmentally friendly or move to a technology which is more advanced and much more environmentally friendly. However, there is much more risk and uncertainty attributable to the second technology because it is new and largely untested.

Para Fuels Co also has the option to abandon the project by selling it if the project proves not to be viable in the future. This flexibility provides Para Fuels Co with a real option.

General comments

Overall, this question was done well. Successful candidates were able to adopt a balanced approach to their answers, rather than focusing too much time on just one aspect of the question. It is worth emphasising the importance of question practice under exam conditions as an essential part of candidates' preparations for this exam. This type of preparation will also help candidates to learn to take the time to read the question and requirements carefully.

The best responses also demonstrated an ability to apply their knowledge to the scenario and present their answers well and in detail to maximise professional skills marks.

Part (a) – 4 marks

This requirement asked for an explanation of why the value of abandonment option by selling the project to another company – Kero Innovations Co, might be included in the financial assessment.

This part of the question was generally done well. Many candidates taking the exam recognised that the possibility of selling the project gives Para Fuels an abandonment real option, which has value. And this value needs to be considered in the financial analysis and evaluation.

Part (b)

The rest of the question related to the production of a report, which is the normal requirement for AFM questions, and attaches professional skills marks in relation to communication (please see below).

Part (b)(i) – 9 marks

This requirement asked for an NPV calculation based on using the current or traditional technology. Candidates were asked to apply inflation to sales and to production costs, with the production costs being subject to differing inflation rate every year. They were asked to apply taxation to the profit cash flows and to calculate the incremental working capital needed each year.

The present value of cash flows beyond the initial four years was provided and needed to be incorporated into the project.

This part of the question was done well by many candidates and a number achieved full marks. They dealt with inflation, tax and working capital correctly. The difficulties were encountered when applying different inflation rates to different years' cash flows, and when calculating the working capital, which did not get released back to the company after four years.

Part (b)(ii) – 9 marks

This requirement asked candidates to calculate the NPV of the project if the new alternative technology is used. The first part of the calculations involved just considering the project on its own, without the real option. The second part of the calculations incorporated the real option, which was an abandonment option, utilising the offer from Kero Innovations.

Candidates found this part of the calculations more challenging. A number of candidates had difficulty estimating the net present value of the project without the option to abandon. Difficulties encountered were dealing with varied growth rates and calculating the present value of future cashflows as a delayed annuity.

Most candidates made a reasonable attempt at the real option calculations and making use of the option formula provided. Common errors here included: (i) not recognising that the option is a put option and using the call value instead; and, (ii) getting the estimate of the P_a wrong (this is the present value of the cash flows forgone, and therefore the present value of year 4 cashflows and the present value of the cash flows related to years 5 to 25). A few candidates also got the time to expiry of the option incorrect. A very small number of candidates failed to give the overall value of the project, by adding the option value to the project net present value, which should have been an easy mark.

A few candidates did not attempt this part at all. It is important to attempt the full question to gain maximum technical marks and also professional skills marks. No part of a question should be left unanswered.

Part (b)(iii) – 7 marks

This part asked candidates to make a recommendation based on financial grounds and then to discuss the assumptions made in the calculations.

This part was answered adequately. Most of the candidates made a number of relevant points in the discussion, but mainly the answers stated the assumptions without going into a detailed discussion on the relevance and impact of the assumptions made. Few responses discussed the assumptions made when using real options. It is also important to note that the assumptions should relate to a range of different areas, beyond considering and discussing just the stability and accuracy of the variables used.

Part (b)(iv) – 11 marks

This part asked candidates to expand their discussion by considering more than just the financial considerations when deciding on which new project to undertake. It gave candidates the opportunity to consider the strategic value of an investment and consider factors such as safety implications and how definite the offer was from Kero Innovations.

Generally, this part was done less well than the other parts of the question. Many candidates presented the quotes from the various directors and then a few sentences to explain these comments. But very few went beyond that to turn the explanations and basic comments into a discussion by considering alternative positions and actions. Better answers made a reasonable attempt at discussing how Para Fuels Co should proceed, if the new technology is adopted.

Professional skills – 10 marks

This is the first exam where professional skills marks were available for communication, commercial acumen, analysis and evaluation, and scepticism. Overall, it was pleasing to see that candidates seemed to be well prepared for this change and many candidates performed well on the professional skills marks. However, candidates, in the main, scored better with communication and analysis and evaluation marks, but less well on scepticism and commercial acumen marks.

Communication marks were available for:

- the general report format and structure
- the style, language and clarity of the report, including appropriate use of the available answer space options.
- the effectiveness of the communication and the ease with which it could be read

Many candidates scored well on the communication marks available.

Analysis and evaluation marks were available for how well the data was used to determine suitable calculations and also the use of these calculations to draw

appropriate conclusions. Many candidates scored well here. In addition, analysis and evaluation marks were also available for balanced analysis undertaken across all requirements. Many candidates scored well here too.

Fewer candidates scored well on scepticism marks because they did not question the relevance of the calculations, the validity of assumptions in any meaningful detail or question the opinion of directors. To achieve this level of scepticism, candidates needed to have undertaken detailed discussion beyond just explanatory sentences.

Also, fewer candidates scored well on the commercial acumen marks. Better responses contextualised the answers to the scenario and companies in the scenario, or to the real world. The wider commercial implications were not demonstrated in most responses.

Section B

Question 2 – Lough Co

The screenshot shows the AFM September 2022 (22/23 syllabus) question interface. The top bar includes the syllabus title, a toolbar with icons for Symbol, Highlight, Strikethrough, Calculator, and Scratch Pad, and a status bar indicating '2 of 3' questions. The main content area is divided into three sections: Exhibits, Requirements, and Response Options. The Exhibits section lists three items: 1. Lough Co, 2. Payment to supplier in Swedish krona, and 3. Treasury function. The Requirements section shows a single requirement: Requirements (25 Marks). The Response Options section shows two options: Word Processor and Spreadsheet. The main text area contains the following text: 'The following exhibits, available on the left-hand side of the screen, provide information relevant to the question. 1. Lough Co 2. Payment to supplier in Swedish krona 3. Treasury function This information should be used to answer the question requirements within your chosen response option(s)'. The bottom bar includes a Help/Formulae Sheet link and navigation buttons for Previous, Navigator, and Next.

Format of the question

Lough Co was a 25-mark question. The question is drawn from Section E of the syllabus, focusing on advanced risk management techniques. The individual question parts are broadly similar in nature and complexity to those that have appeared in previous risk management questions and should not have been unexpected.

Exhibit one presented information about a holding company, Lough Co, which is based in the United States (US). Lough Co's treasury department is centralised and uses multilateral netting to settle intra-group balances. The exhibit presented the intra-group balances in four different currencies and explained that the United States dollar is used as the base currency for the purposes of multilateral netting. The relevant spot mid-rates were also provided so that the intra-group balances could be converted into dollars.

Exhibit two presented information about a payment Lough Co is due to make a payment to a Swedish supplier in five months' time. This transaction exposes Lough

Co to foreign exchange risk and the treasury manager is considering using either the forward or money markets to hedge that risk. Market data was therefore provided in the exhibit that would be relevant to that decision.

In Exhibit three, candidates were told that Lough Co's directors are also due to discuss the future of the treasury function as part of a restructuring exercise. The exhibit provided background information on the reasons for that restructuring and the chief executive officer's intention to implement a cost reduction strategy to improve Lough Co's competitive position. This background material provided some context for the information that was presented later in the exhibit about the ongoing issues associated with the existing treasury function and the finance director's belief that a decentralised treasury function would help to avoid these problems.

The initial requirement asked candidates to calculate the impact on intra-group cash flows if multilateral settlements are used to settle outstanding balances and to explain the main advantage of a multilateral netting system. Candidates were then asked to evaluate which of the hedging methods would minimise the payment to the supplier based in Sweden. Finally, candidates were asked to explain how a centralised treasury assists with the CEO's cost reduction strategy and to discuss the advantages of the finance director's proposal to decentralise the treasury function. In addition to the technical marks that were available in this question, candidates were also expected to demonstrate professional skills throughout their responses to the requirements. The professional skills being examined in Lough Co included analysis and evaluation, scepticism and commercial acumen.

General comments

The requirements in this question were reasonably technically demanding. However, candidates who were well prepared were able to demonstrate the requisite level of technical competence and scored good marks. Overall, many candidates coped very well with the multilateral netting and hedging calculations in the first two requirements but the responses to the final requirement were often a little disappointing. Many candidates were also able to demonstrate reasonable analysis and evaluation skills but often struggled to demonstrate the requisite level of skills in scepticism and commercial acumen. The review below focuses on the key problems that were identified in each requirement.

Overall, candidates performed very well on this question, particularly with respect to the calculations in requirements (a) and (b). However, there was a significant number of candidates who did not apply their answers to the information in the scenario in requirement (c). Candidates also generally seemed to be more competent in terms of demonstrating the skill of analysis and evaluation, particularly in their numerical analysis, compared to the skills of scepticism and commercial acumen. Although analysis and evaluation is key to Advanced Financial Management, the skills of scepticism and commercial acumen are also highly important and should be developed to give increased chances of exam success.

Part (a) – 9 marks

Requirement (a) asked candidates to calculate the impact on intra-group cash flows if multilateral netting is used to settle outstanding balances between Lough Co and its overseas subsidiaries and then to briefly explain the main advantage of a multilateral netting system. Many candidates made a systematic attempt at the calculations and gained the majority of the marks for this requirement. Only a small minority of candidates were unable to make any real attempt at the calculations. The most common error was failing to follow the instructions provided in the scenario, either by ignoring the need to calculate the final cash flow settlements once they had netted out the underlying transactions or by suggesting alternative settlement arrangements that were not in line with the instructions.

In their explanation of the main advantage of a multilateral netting system, many candidates correctly identified lower transaction costs and/or reduced central treasury administration and therefore scored well for this part of the requirement.

Part (b) – 4 marks

Requirement (b) asked candidates to evaluate the hedging decision for a payment due to a Swedish supplier, using both a forward hedge and a money market hedge. The market data provided suggested the Swedish krona is expected to depreciate.

Candidates normally answered this requirement satisfactorily and a good number of candidates earned full marks in the calculations. The most common errors involved using the spot rate rather than the forward rate or the ask rate than the bid rate in the forward hedge and using the wrong interest and/or exchange rates in the money market hedge.

A significant number of candidates limited their advice on the most appropriate hedging method based on cost alone whereas better prepared candidates mentioned other advantages or disadvantages too and were able to use these as the basis for a recommendation.

Part (c) – 7 marks

Requirement (c) asked candidates to explain how a centralised department assists with the company's cost reduction strategy and to discuss the advantages of the finance director's proposal to decentralise the treasury function. The key point in this requirement was that Lough Co's centralised treasury function provided a better fit with the cost reduction strategy compared to a decentralised treasury function whilst the latter would help resolve many of the issues experienced by Lough Co's overseas subsidiaries.

Many candidates provided rote learned advantages of both centralised and decentralised treasury functions but very few were able to apply their answers to the specific scenario. Candidates are therefore reminded that questions are designed to test the application of knowledge to a scenario and candidates who provide rote

learned explanations will always perform less well than candidates who take the time to apply their knowledge to the scenario.

Professional skills – 5 marks

Analysis and evaluation

Many candidates were able to demonstrate excellent analysis and evaluation skills in their numerical analysis, producing comprehensive and well-structured calculations in their responses to parts (a) and (b).

However, candidates were also expected to provide advice as part of their evaluation of the hedging methods in requirement (b). Many candidates ignored this part of the requirement and lost a valuable opportunity to demonstrate further analysis and evaluation skills.

Scepticism

To demonstrate the skill of scepticism, candidates were expected to adopt a questioning approach in a way that would lead to effective challenges of the information provided in the scenario. A small number of candidates used the data in exhibit two, which predicted a depreciation of the Swedish krona relative to the dollar, to question whether there was a need to hedge the payment at all. This was an excellent example of scepticism being demonstrated. However, most candidates struggled to demonstrate the requisite level of scepticism and would do well to focus on this aspect of the requirements in their preparation for the exam.

Commercial acumen

To demonstrate the skill of commercial acumen effectively, candidates can use the information in the scenario to draw evidence that relates to the organisational context or any other practical commercial considerations that could be taken into account.

An example of commercial acumen in this question might have involved identifying the potential for closer relationships with investors and the commercial benefits that would accrue to Lough Co if there was a greater understanding of their needs.

Question 3 – Felinhen Co

AFM September 2022 (22/23 syllabus) 3 of 3

Symbol Highlight Strikethrough Calculator Scratch Pad Close All Flag for Review

Exhibits

- 1. Felinhen Co
- 2. Valuation of woodcraft business

Requirements

- Requirements (25 marks)

Response Options

- Word Processor
- Spreadsheet

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question.

1. Felinhen Co
2. Valuation of woodcraft business

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

Help/Formulae Sheet Previous Navigator Next

Format of the question

Felinhen Co was a 25-mark question. The question is drawn from Sections C and D of the syllabus, focusing on the valuation of a business division in the context of a reorganisation. The individual question parts are broadly similar in nature and complexity to those that have appeared in previous questions drawn from the same syllabus areas. That said, this question expected candidates to assimilate a lot of information in the time available.

Exhibit one presented information about Felinhen Co's corporate structure, including a description of a wholly owned subsidiary, Counwood Co, which runs two businesses. One of these businesses, the woodcraft business, makes furniture in craft centres which is then sold in woodcraft shops, both owned by Counwood Co. The woodcraft business has experienced a decline in profitability and in the year just ended, made its first operating loss. The board's initial response to close the woodcraft business was met with opposition and a group of employees have made a buy-out offer. Felinhen Co is now considering alternative scenarios. The first scenario involves closing the craft centres and woodcraft shops and selling their assets individually. The second scenario involves closing the woodcraft shops but keeping the craft centres open with the furniture being sold in one of Counwood Co's other businesses. The third scenario involves an investment in the continued operation of the woodcraft shops and craft centres although candidates are told this scenario is only to be used as a comparison to the buy-out offer.

Exhibit two provided detailed financial information, including Counwood Co's most recent statement of financial position and cash flow forecasts that are relevant to the final scenarios being considered by the board.

The initial requirement asked candidates to calculate the valuation of the woodcraft business in the three project scenarios. Candidates were then asked to discuss the possible courses of action Felinhen Co's board could take regarding the woodcraft business, including other possible courses of action that could be considered and to make an overall recommendation. In addition to the technical marks that were available in this question, candidates were also expected to demonstrate professional

skills throughout their responses to the requirements. The professional skills being examined in Felinhen Co included analysis and evaluation, scepticism and commercial acumen.

General comments

Overall, candidates performed reasonably well on this question, particularly with respect to the valuation calculations, although there were a significant number who provided limited responses to requirement (b). Candidates also seemed to find it easier to demonstrate the skill of analysis and evaluation compared to the skills of scepticism and commercial acumen, possibly due to the time constraint and/or the limited nature of the responses to requirement (b). Candidates are therefore reminded to take the time to plan their answers carefully.

Part (a) – 9 marks

Requirement (a) asked candidates to calculate a valuation for each of the three scenarios the board are considering, as detailed in exhibit one. Candidates were expected to perform a net asset valuation and free cash flow valuations using the statement of financial position and cash flow forecasts provided in exhibit two. Overall, candidates coped well with the calculations and many scored high marks. The most common error with the net asset valuation involved ignoring the adjustments that should have been made to Counwood Co's assets to determine the realisable value of the woodcraft business' share of those assets. Many candidates also included additional investment in the valuation for the second scenario despite being told that this was equivalent to depreciation. A more careful reading of the information provided would have avoided both problems. There were also mistakes with the terminal value calculation, with candidates most often forgetting to discount back to present value.

Part (b) – 11 marks

Requirement (b) expected candidates to use the calculations from the previous requirement to discuss possible courses of action Felinhen Co's board could take regarding the woodcraft business. Candidates were also expected to make an overall recommendation, based on their analysis. Although there were some excellent answers to this requirement, a significant number of candidates provided limited responses. Some candidates wasted time repeating information from the scenario or discussing points that were not relevant to the scenario. Well prepared candidates discussed the advantages and disadvantages of each of the scenarios being considered by the board, suggested alternative scenarios such as the partial-implementation of the options being considered, and used this analysis as the basis for an overall recommendation.

Examples of the range of points that were raised by candidates are as follows:

"The business angels supporting the buy-out group represent a source of principal-agency conflict."

This might be a relevant point after the unbundling has taken place but it is not relevant to the requirement about Felinhen Co's possible courses of action.

"Selling the woodcraft business to the buy-out group avoids the need for job losses and will therefore protect Felinhen Co's reputation."

This statement addresses one of the advantages associated with the buy-out offer and would have been awarded one mark.

"The buy-out offer is only slightly higher than the value achieved from the asset sale, which would normally be expected to represent the minimum value of a business."

This statement shows excellent application to the scenario and would be awarded two marks.

The most common misunderstanding made by candidates involved recommending the hypothetical third scenario even though candidates were told in exhibit one that this is not an option that the board is considering and that this was only included to provide a useful comparison to the offer made by the buyout group. Candidates are therefore reminded to take the time to read and understand the background information and to use this to address the requirements asked.

Professional skills – 5 marks

Analysis and evaluation

Many candidates were able to demonstrate a reasonable level of skill in analysis and evaluation by providing comprehensive and well-structured numerical analysis for their calculations in their responses to requirement (a).

The most common omission made by a significant number of candidates was ignoring the need for a recommendation in their response to requirement (b), which should have been a key aspect of their evaluation.

Scepticism

To demonstrate the skill of scepticism, candidates were expected to provide an effective challenge to the assumptions in the scenario. An example of effective scepticism might have involved questioning the assumption that the cash flows in the second or third scenarios would continue for the foreseeable future and identifying the impact this might have on either of the valuations.

Many candidates question the accuracy of the figures provided, for example, but very few provide effective grounds for that challenge or are able to expand that point into an implication.

Commercial acumen

To demonstrate the skill of commercial acumen effectively, candidates can use the information in the scenario to draw evidence that relates to the organisational context or take any other practical commercial considerations into account.

An example of commercial acumen in this question might have involved identifying the opportunity to negotiate the offer from the buy-out group, after a comparison with the valuation generated by the third scenario.